Economy Topic 1 — Indian Economy: Basics, Evolution and Economic Planning

Covers syllabus (click to expand)

Salient features of the Indian economy | Economic growth vs economic development | National income accounting (GDP, GNP, NDP, NNP, GVA) | History of economic planning, Five-Year Plans, and NITI Aayog | Economic reforms (1991 LPG model) | Nature of mixed economy | Business cycle dynamics

Core References: NCERT Class 11 (Indian Economic Development) & Class 12 (Macroeconomics), Ghatnachakra *Economic & Social Development*, Economic Survey, and UPPCS/UKPCS/UPSC Prelims archives. **Significance:** ★★★ High — Mixed economy attributes, national income identities, Planning Commission vs NITI Aayog structures, Five-Year Plan themes, Hindu rate of growth, and Capital-Output Ratio (COR). **Last verified:** Academic Year 2026

Note: Public finance, budgeting, and taxation are detailed in **Economy Topic 2**. Money, banking, and RBI mechanisms are covered in **Topic 3**. Inflation indices are explored in **Topic 4**. Poverty, unemployment, and human development are detailed in **Topic 8**. This foundational chapter establishes structural characteristics, national income arithmetic, planning machinery, and post-reform transitions.

Current Affairs & Contemporary Highlights

Reference Year	Key Institutional & Macroeconomic Fact	Conceptual Importance & Exam Relevance
2026 (MoSPI)	Central Statistics Office released a new National Accounts series adopting base year **2022–23** (effective **27 February 2026**), replacing the previous **2011–12** series.	Real GDP and growth estimates are calculated using 2022–23 constant prices; 2011–12 is no longer the operational base.
2025 (NITI FHI)	In NITI Aayog's **Fiscal Health Index 2025** (evaluating FY 2022–23), **Odisha** secured the 1st position among major States; **Uttar Pradesh** achieved a composite score of **45.9** (ranking 7th).	Highlights state rankings in public financial management indices and Uttar Pradesh's specific performance.
2025 (UKPCS / UPPCS)	NITI Aayog was established via an **Executive Cabinet Resolution** on **1 January 2015** (not 2014); its ex-officio Chairperson is the **Prime Minister** (not the President).	Reinforces the non-statutory, extra-constitutional character of NITI Aayog and its executive lineage.
2025 (UKPCS)	The **11th Five-Year Plan (2007–12)** adopted the targeted objective of **"Towards Faster and More Inclusive Growth"**.	Distinguished from the 12th Plan, which explicitly incorporated the keyword **"Sustainable"**.

Reference Year	Key Institutional & Macroeconomic Fact	Conceptual Importance & Exam Relevance
2024 (UPPCS)	India is structurally classified as a **developing / underdeveloped** economy characterized by a **mixed economy** framework; **Adam Smith** is the classical Father of Economics, whereas **J.M. Keynes** is the father of modern macroeconomics.	Core conceptual classification question distinguishing classical economic taxonomy from modern macroeconomic pioneers.
2024 (UPPCS)	Economic development emphasizes multi-dimensional living standards and human welfare; **growth in per capita income alone is not a sufficient condition**.	Fundamental conceptual distinction between quantitative growth and qualitative socio-economic development.
2023 (UPPCS)	**Voluntary social service** is categorized as a non-monetized, non-economic activity, whereas agriculture, manufacturing, transport, and commercial services are economic activities.	Clarifies the definition of economic activity based on monetary transaction and material gain.
2015 onwards	The **Development Monitoring and Evaluation Office (DMEO)** was established on **18 September 2015** as an attached office under **NITI Aayog** (merging PEO and IEO).	Responsible for independent monitoring and evaluation of Government of India welfare schemes.

1.1 Structural Features of the Indian Economy

The **Indian economy** is a vast, structurally diverse emerging market that exhibits profound structural dualism: a highly advanced, modern formal industrial and digital services segment coexisting with an extensive traditional, unorganized, and informal agrarian sector.

Foundational Characteristics

- **Developing / Underdeveloped Classification:** Textbook developmental economics categorizes India as a **developing economy** due to historical per capita income levels, high demographic dependency on agriculture, persistent disguised unemployment, and lower physical/human capital indices, even while aggregate GDP makes India one of the largest economies globally.
- **Mixed Economy Architecture:** India operates as a **mixed economy**, where the state (public sector) and private enterprise coexist. The public sector historically controlled strategic heavy industries and basic infrastructure, while the private sector handled agriculture, consumer goods, and trade. Following the **1991 economic reforms**, private enterprise was granted access to most sectors, but the state continues to manage strategic infrastructure and welfare interventions.
- **Factor Endowment (Labour-Surplus):** Economically, India is classified as a **labour-surplus economy** (characterized by an abundance of labour relative to available physical capital and low equilibrium wages), rather than a capital-abundant or trade-surplus nation.
- **Hallmarks of Underdevelopment:** The distinguishing criteria of an underdeveloped or developing economy are **low per capita income**, **low rate of capital formation**, high incidence of poverty, and

widespread underemployment. In contrast, attributes like a **low dependency ratio** and a **tertiary-dominated workforce** represent high-income developed nations.

- **Employment Structure and Disguised Unemployment:** Agriculture still engages roughly 45% of India's total labour force while contributing less than 18% to national Gross Value Added (GVA). This disproportion reflects substantial **disguised unemployment** (a scenario where marginal productivity of surplus labour is near zero).
- **Natural Resource Endowment:** India is well-endowed with arable land, sunshine, water systems, and mineral wealth. Therefore, a "lack of natural resources" is **not** an impediment; rather, lagging capital formation, lower technological intensity, and labour productivity have historically constrained growth.
- **Classification of Economic Activities:** Economic activities encompass actions undertaken for financial compensation or profit (e.g., farming, industrial fabrication, freight transit, and commercial services). In contrast, **voluntary social service** or altruistic domestic labour are performed without material exchange and are designated as non-economic activities.
- **Determinants of Economic Growth:** Economic growth is governed by both **economic determinants** (capital stock, technological accumulation, natural resources, and infrastructure) and **non-economic determinants** (social institutions, political stability, legal integrity, and cultural attitudes).

Foundational Thinkers in Economics

- **Adam Smith (Father of Modern Economics):** Scottish philosopher **Adam Smith** is celebrated as the **Father of Modern Economics**. In his seminal work, *An Inquiry into the Nature and Causes of the Wealth of Nations* (1776), he expounded the principles of the free-market mechanism, specialization through the division of labour, and the concept of the "invisible hand."
- **John Maynard Keynes (Father of Modern Macroeconomics):** British economist **John Maynard Keynes (J.M. Keynes)** revolutionized macroeconomic theory during the Great Depression. In his masterwork, *The General Theory of Employment, Interest and Money* (1936), he challenged classical laissez-faire doctrines by arguing that aggregate demand determines economic activity, advocating counter-cyclical government spending and fiscal intervention to restore full employment. While Keynes is the recognized founder of modern **macroeconomics**, he is not the father of general economics.

Q-EC1. UPPCS (Pre) 2024

With reference to Economic Growth, which of the following statements is/are correct?

1. Indian Economy is an Underdeveloped Economy.
2. Indian Economy is a Mixed Economy.
3. J.M. Keynes is the Father of Economics.

Select the correct answer from the codes given below:

A. Only 1 and 2 are correct.
B. Only 3 is correct.
C. Only 1 is correct.
D. Only 2 and 3 are correct.

Show answer

Explanation: - **Statement 1 is correct:** In classical economic classification and developmental literature, the Indian economy is categorized as an underdeveloped / developing economy owing to its structural features (low per capita income, agrarian workforce dependency, disguised unemployment, and capital gaps). - **Statement 2 is correct:** India is a mixed economy where public and private enterprises operate concurrently under state regulatory supervision. - **Statement 3 is incorrect:** Adam Smith is universally recognized as the Father of Economics (*The Wealth of Nations*, 1776). J.M. Keynes is recognized specifically as the father of modern macroeconomics (*The General Theory*, 1936), not the general Father of Economics. **Ans: A.** Only 1 and 2 are correct.

1.2 Economic Growth versus Economic Development

While frequently used interchangeably in popular discourse, modern economics maintains a sharp conceptual distinction between **economic growth** and **economic development**.

Conceptual Distinctions

- **Economic Growth (Quantitative Expansion):** Economic growth represents a quantitative increase in the real value of goods and services produced by an economy over a specific duration (measured as percentage growth in real GDP or real GNP).
- The single most dependable indicator of sustained economic growth is a continuous, long-term rise in **real per capita income**.
- A temporary increase in nominal national income driven purely by inflationary price increases does not constitute genuine economic growth.
- **Economic Development (Qualitative Transformation):** Economic development is a comprehensive, multi-dimensional process that combines quantitative output expansion with qualitative socio-economic improvements.
- It encompasses structural changes such as poverty alleviation, reduction in wealth inequality, universal access to basic healthcare and schooling, environmental sustainability, and expanded human freedoms (as articulated in **Amartya Sen's** capability approach).
- **Growth is Necessary but Not Sufficient:** A country can experience high real GNP growth without achieving economic development if the newly generated wealth remains concentrated, resulting in worsening unemployment, malnutrition, and poverty.
- **The "Hindu Rate of Growth":** Formulated by prominent economist **Prof. Raj Krishna** at a 1978 conference, this phrase refers to the sluggish annual growth rate of the Indian economy—averaging approximately **3.5% for GDP** and **1.3% for per capita income**—between 1950 and 1980. The term drew attention to the structural inefficiencies of bureaucratic central planning and import substitution, and has no theological or demographic connotation.
- **Capital–Output Ratio (COR):** The relationship between the volume of capital invested and the resulting economic output is measured by the Capital–Output Ratio. A high Capital–Output Ratio signifies that substantial capital investments yield relatively modest output increments, highlighting productive inefficiency.
- **Inflationary Linkage:** Rapid economic growth is commonly accompanied by moderate **demand-pull inflation**, as rising incomes fuel aggregate purchasing power.

- **Labour's Factor Share:** In situations where consumer price levels escalate faster than nominal wages, the real purchasing power of workers erodes, causing labour's proportional share in national income to decline relative to capital returns.

Q-EC2. UPPCS (Pre) 2024

Given below are two statements, one is labelled as Assertion (A) and the other as Reason (R).

Assertion (A): Development is being defined as improving living standards and welfare.

Reason (R): Growth in per capita income is not a sufficient measure of development.

Select the correct answer from the codes given below:

A. Both (A) and (R) are true and (R) is the correct explanation of (A).
B. (A) is false, but (R) is true.
C. Both (A) and (R) are true, but (R) is not the correct explanation of (A).
D. (A) is true, but (R) is false.

Show answer

Explanation: - **Assertion (A) is true:** Modern economics defines economic development comprehensively in terms of enhancing human well-being, living standards, health, education, and institutional welfare rather than mere physical production. - **Reason (R) is true:** An increase in per capita income fails to reflect distributional disparities; an economy may record rising per capita income while the majority of citizens suffer from escalating poverty, unemployment, or poor health infrastructure. - Because per capita income growth alone is insufficient to capture multidimensional well-being, economists were compelled to redefine development around living standards and welfare. Therefore, (R) correctly explains (A). **Ans: A.** Both (A) and (R) are true and (R) is the correct explanation of (A).

1.3 National Income Accounting — The GDP Family

National income accounting measures the monetary value of aggregate economic activity within a country over an accounting period (typically a financial year from 1 April to 31 March).

Core Aggregates and Formulas

- **Gross Domestic Product (GDP):** Total market value of all final goods and services produced within the geographic boundaries (domestic territory) of a country in a year: > **GDP = C + I + G + (X − M)** > *(where C = Private Consumption, I = Gross Investment, G = Government Spending, and X − M = Net Exports)*
- **Gross National Product (GNP):** Output produced by the permanent residents of a country, regardless of where production takes place. It adjusts GDP for **Net Factor Income from Abroad (NFIA)**: > **GNP = GDP + NFIA**
- **Net Domestic Product (NDP) & Net National Product (NNP):** Fixed capital assets wear out during production. Subtracting depreciation (consumption of fixed capital) yields net aggregates: > **NDP =**

GDP – Depreciation
> **NNP = GNP – Depreciation**

- **National Income (NI) Proper:** In Indian national accounting conventions, official National Income corresponds to **Net National Product at factor cost (NNP_FC)**: > **NNP_FC = NNP_MP – Net Indirect Taxes = NNP_MP – Indirect Taxes + Subsidies**
- **Gross Value Added (GVA):** Reflects the net contribution of individual producer sectors (Agriculture, Industry, Services). Since the 2015 methodology revision, headline GDP is compiled as: > **GDP at Market Prices = GVA at Basic Prices + Product Taxes – Product Subsidies**
- **Nominal GDP vs Real GDP:** Nominal GDP measures output at prevailing market prices, whereas Real GDP measures output at constant base-year prices.
- **Base Year:** The reference period utilized to isolate real production volume from price inflation. Effective **February 2026**, MoSPI revised the benchmark base year to **2022–23** (replacing the previous 2011–12 series).
- **GDP Deflator:** A broad price index reflecting the overall price level of all domestically produced goods and services: > **GDP Deflator = (Nominal GDP / Real GDP) × 100**
- **Personal Disposable Income (PDI):** Income actually available to households for consumption and saving: > **PDI = Personal Income – Direct Personal Taxes – Non-Tax Payments (fines/fees)**

Estimation Methods

1. **Production (Value Added) Method:** Computes Gross Value Added by deducting intermediate consumption from total gross output across all producing enterprises.
2. **Income Method:** Aggregates factor payments earned by factors of production: Compensation of Employees (wages/salaries) + Operating Surplus (rent, interest, profits) + Mixed Income of the self-employed.
3. **Expenditure Method:** Sums all final expenditures on goods and services: (C + I + G + X − M).

Measurement Dilemmas in India

- **Large Informal / Unorganized Sector:** More than 80% of India's workforce operates in the informal economy, where record-keeping is minimal and transactions occur outside organized banking channels.
- **Non-Monetized Transactions:** In rural communities, substantial subsistence agricultural output and barter-like local exchanges bypass formal markets, complicating national income computation.
- **Exclusion of Non-Productive Transfers:** Transfer payments (old-age pensions, student scholarships, unemployment relief, gifts) are excluded from national income calculation because they involve income redistribution without corresponding current production.

Pioneers of Indian National Accounting

- **Dadabhai Naoroji:** Conducted the earliest empirical estimation of India's national income for 1867–68 in *Poverty and Un-British Rule in India*, estimating annual per capita income at **₹20**.
- **Dr. V.K.R.V. Rao:** Formulated the first statistically rigorous, scientific methodology in 1931–32 by segmenting the economy into agricultural and non-agricultural sectors.

- **National Income Committee (1949):** Appointed by the Government of India under the chairmanship of **Prof. P.C. Mahalanobis**, with Prof. D.R. Gadgil and Dr. V.K.R.V. Rao as members, establishing the institutional foundation for the Central Statistical Organisation (CSO).

Q-EC3. UKPCS (Pre) 2016

One of the problems in calculating National Income in India is

A. Under-employment
B. Inflation
C. Low level of savings
D. Non-monetised consumption

Show answer

Explanation: - While underemployment, inflation, and low savings represent macroeconomic challenges in India, the primary statistical and methodological obstacle in **calculating** national income is the presence of a substantial non-monetized sector (subsistence farming, household services, barter transactions) and unorganized informal output that is not routed through formal market transactions. **Ans: D.** Non-monetised consumption.

1.4 Evolution of Economic Planning: Planning Commission to NITI Aayog

Economic planning represents a systematic process wherein a central authority mobilizes, allocates, and coordinates national resources toward predetermined socio-economic priorities over fixed planning horizons.

Constitutional Framework

- **Concurrent Jurisdiction:** In the Seventh Schedule of the Constitution of India, **"Economic and Social Planning"** is listed under the **Concurrent List (List III, Entry 20)**. Both Parliament and State Legislatures possess concurrent jurisdiction to enact developmental legislation.
- **Decentralized Local Planning:** Under Articles 243-G and 243-W, Panchayats and Municipalities are constitutional entities entrusted with preparing plans for economic development and social justice.

The Planning Commission (1950–2014)

- **Establishment:** Established on **15 March 1950** through an **Executive Resolution of the Union Cabinet**, based on recommendations of the Advisory Planning Board chaired by K.C. Neogy.
- **Legal Status:** It was a **non-constitutional and non-statutory body** with an advisory mandate.
- **Authority and Influence:** Over decades, it functioned as an influential quasi-political authority. Administrative analyst Ashok Chandra famously characterized it as India's **"Economic Cabinet"** because its resource allocations effectively dictated central ministry and state development expenditures.
- **Leadership:** The Prime Minister served as the ex-officio Chairman. Operational governance was managed by a full-time Deputy Chairman enjoying the protocol rank of a Union Cabinet Minister.

- **Distinguished Deputy Chairmen:** Dr. Manmohan Singh, Pranab Mukherjee, and Montek Singh Ahluwalia. P. Chidambaram never served as Deputy Chairman.

The National Development Council (NDC)

- **Establishment:** Formed on **6 August 1952** by executive order to associate State Governments with the planning process.
- **Composition:** Chaired by the Prime Minister, and comprised all Union Cabinet Ministers, Chief Ministers of all States, administrators of Union Territories, and members of the Planning Commission.
- **Primary Mandate:** Served as the **apex approving authority** for Five-Year Plans. While largely supplanted by NITI Aayog's Governing Council, no formal government resolution has formally dissolved the council.

NITI Aayog (National Institution for Transforming India)

- **Establishment:** Replaced the Planning Commission on **1 January 2015** through a Union Cabinet Resolution. Like its predecessor, NITI Aayog is a **non-constitutional, non-statutory** policy institution.
- **Core Philosophy:** Designed to function as a strategic developmental think tank that promotes **cooperative federalism** (bottom-up engagement with States) and **competitive federalism** (evidence-based performance benchmarking).
- **Absence of Financial Allocation Power:** NITI Aayog does **not** allocate budgetary grants or capital plan funds to States; financial transfers are governed by the Ministry of Finance and statutory Finance Commission awards.
- **Organizational Hierarchy:**
- **Chairperson:** Prime Minister of India (ex-officio).
- **Vice-Chairperson:** Full-time executive head holding Cabinet Minister rank (First Vice-Chair: **Arvind Panagariya**).
- **Chief Executive Officer (CEO):** Senior bureaucrat holding Secretary rank (First CEO: **Sindhushree Khullar**; later CEOs include Amitabh Kant and **B.V.R. Subrahmanyam**).
- **Governing Council:** Comprises the Prime Minister, Chief Ministers of all States and Union Territories with legislatures, and Lieutenant Governors of other Union Territories. **State Governors are not members**.
- **Attached Specialized Offices:** The **Development Monitoring and Evaluation Office (DMEO)** was established on **18 September 2015** under NITI Aayog by merging the Programme Evaluation Organisation (**PEO**) and Independent Evaluation Office (**IEO**) to assess central scheme efficacy.
- **Key Initiatives:**
- **Atal Innovation Mission (AIM):** Fosters nationwide entrepreneurship and incubation infrastructure.
- **SDG India Index:** Nodal tracker measuring State-level implementation of UN Sustainable Development Goals.
- **Aspirational Districts Programme:** Catalyzes development across lagging rural districts through composite index tracking.

Pre-Independence Planning Milestones

1. **Sir M. Visvesvaraya (1934):** Authored *Planned Economy for India*, proposing a 10-year developmental roadmap to double national income.
2. **National Planning Committee (1938):** Established by Congress President **Subhash Chandra Bose** at Haripura, with **Jawaharlal Nehru** as Chairman.
3. **The Bombay Plan (1944):** Drafted by eight prominent industrialists (**J.R.D. Tata, G.D. Birla, Lala Shri Ram, Kasturbhai Lalbhai, A.D. Shroff, Purshottamdas Thakurdas, John Mathai, and Ardeshir Dalal**), advocating state-led heavy industry investment.
4. **The Gandhian Plan (1944):** Authored by **Sriman Narayan Agarwal**, emphasizing cottage industries, rural decentralization, and agricultural self-sufficiency.
5. **The People's Plan (1945):** Formulated by radical humanist leader **M.N. Roy**, advocating socialistic agriculture and consumer goods production.
6. **The Sarvodaya Plan (1950):** Drafted by **Jayaprakash Narayan**, integrating Gandhian rural reconstruction with socialist cooperative farming.

Q-EC4. UPPCS (Pre) 2018

Who was the first Vice-Chairman of the NITI Ayog?

A. Arvind Panagariya
B. Raghuram Rajan
C. Chandrashekhara Subramanyam
D. Rajiv Kumar

Show answer

Explanation: - Economist Prof. Arvind Panagariya was appointed as the first Vice-Chairperson of NITI Aayog in January 2015, serving until August 2017. He was succeeded by Dr. Rajiv Kumar and later Suman Bery. **Ans: A.** Arvind Panagariya.

Q-EC5. UPPCS (Pre) 2020

The Atal Innovation Mission (AIM) is a flagship initiative set up by

A. Ministry of Human Resource Development
B. NITI Aayog
C. Ministry of Social Justice and Empowerment
D. Ministry of Science and Technology

Show answer

Explanation: - The Atal Innovation Mission (AIM) is a flagship initiative launched by NITI Aayog to promote a culture of innovation and entrepreneurship through Atal Tinkering Labs (ATLs) in schools and Atal Incubation Centres (AICs) for startups. **Ans: B.** NITI Aayog.

Q-EC6. UPPCS (Pre) 2020

The Development Monitoring and Evaluation Office, which monitors the progress of long-term policies, is an attached office under

A. Prime Minister's Office
B. Ministry of Statistics and Programme Implementation
C. Cabinet Secretariat
D. NITI Aayog

Show answer

Explanation: - The Development Monitoring and Evaluation Office (DMEO) was constituted on 18 September 2015 as an attached office under NITI Aayog by amalgamating the erstwhile Programme Evaluation Organisation (PEO) and Independent Evaluation Office (IEO). **Ans: D.** NITI Aayog.

Q-EC7. UPPCS (Pre) 2021

Who among the following was never a Deputy Chairman of the Planning Commission of India?

A. Shri Chidambaram
B. Shri Pranab Mukherjee
C. Shri Manmohan Singh
D. Shri Montek Singh Ahluwalia

Show answer

Explanation: - P. Chidambaram served in key ministerial portfolios (Finance, Home) but was never appointed Deputy Chairman of the Planning Commission. Dr. Manmohan Singh (1985–87), Pranab Mukherjee (1991–96), and Montek Singh Ahluwalia (2004–14) all served as Deputy Chairman. **Ans: A.** Shri Chidambaram.

Q-EC8. UPPCS (Pre) 2018

Which of the following is NOT a member of the Governing Council of NITI Aayog?

A. Chief Ministers of all States
B. Chief Ministers of Delhi and Puducherry
C. Governors of States
D. Lieutenant Governor of Andaman & Nicobar Islands

Show answer

Explanation: - NITI Aayog's Governing Council comprises the Prime Minister, Chief Ministers of all States and Union Territories with legislative assemblies, and Lieutenant Governors/Administrators of other UTs. State Governors are not members of the Governing Council. **Ans: C.** Governors of States.

1.5 The Five-Year Plans: Chronology, Models, and Thematic Focus

India implemented twelve Five-Year Plans alongside several interim Annual Plans between **1 April 1951** and **31 March 2017**.

Chronological Guide to Indian Plans

Plan & Duration	Theoretical Model & Architects	Priority Sectors & Distinctive Highlights	Growth Target vs Actual
First Plan (1951–56)	**Harrod–Domar Model** (adapted by K.N. Raj)	Agriculture, price stability, power, and major irrigation (Bhakra Nangal, Damodar Valley, Hirakud). Formally launched 1 April 1951.	Target: 2.1% Actual: **3.6%**
Second Plan (1956–61)	**P.C. Mahalanobis Model** (Heavy Industry Strategy)	Capital goods, heavy engineering, steel plants (Bhilai, Durgapur, Rourkela). Adopted the goal of a **"Socialistic Pattern of Society"** (IPR 1956).	Target: 4.5% Actual: **4.27%**
Third Plan (1961–66)	**John Sandy & S. Chakravarty Model**	Self-reliant agriculture and heavy industry. Disrupted by the Sino-Indian War (1962), Indo-Pak War (1965), and severe drought (1965–66).	Target: 5.6% Actual: **2.84%**
Plan Holiday (1966–69)	Three Annual Plans	Devaluation of the Rupee (1966), launch of the **Green Revolution** (High Yielding Varieties Program), and agricultural price support (creation of FCI & CACP).	Stabilized economy
Fourth Plan (1969–74)	**Ashok Rudra & A.S. Manne Model**	Core objective: **"Growth with Stability and Progressive Self-Reliance"**. Nationalization of 14 major commercial banks (1969); Indo-Pak War (1971) and oil shock (1973).	Target: 5.7% Actual: **3.3%**
Fifth Plan (1974–79)	**D.D. Dhar Model**	Twin objectives: **"Garibi Hatao" (Poverty Removal)** and **"Attainment of Self-Reliance"** (zero net foreign aid). Launched 20-Point Program (1975). Terminated early in 1978.	Target: 4.4% Actual: **4.8%**
Rolling Plan (1978–80)	Proposed by **Gunnar Myrdal**	Formulated by the Janata Party government under Morarji Desai, revising targets annually. Discontinued when Congress returned to power in 1980.	Transitional Annual Plans
Sixth Plan (1980–85)	Modernization & Technology Framework	Direct attack on poverty via family welfare; nationwide rollout of **IRDP (Integrated Rural Development Programme)** on 2 October 1980; establishment of **NABARD (1982)**.	Target: 5.2% Actual: **5.66%**
Seventh Plan (1985–90)	Focus on Food and Productivity	Slogan: **"Food, Work and Productivity"**. Introduction of Jawahar Rozgar Yojana (JRY, 1989); private sector investment outlays surpassed public sector for the first time.	Target: 5.0% Actual: **6.01%**
Annual Plans (1990–92)	Intermittent Annual Plans	Balance of Payments crisis, gold pledging, and launch of systemic economic reforms (July 1991).	Reform period
Eighth Plan (1992–97)	**John W. Miller Model**	Designated **human development** as the core of economic planning. Focused on infrastructure and private enterprise encouragement following 1991 LPG reforms.	Target: 5.6% Actual: **6.68%**

Plan & Duration	Theoretical Model & Architects	Priority Sectors & Distinctive Highlights	Growth Target vs Actual
Ninth Plan (1997–2002)	50th Independence Anniversary Plan	Core objective: **"Growth with Social Justice and Equity"**. Institutionalized the **Women's Component Plan (WCP)**, earmarking at least 30% of scheme funds for women.	Target: 6.5% Actual: **5.35%**
Tenth Plan (2002–07)	Monitorable Target Framework	Ambitious 8% GDP target; set monitorable targets for poverty reduction, primary schooling, and gender parity; highest outlay allocation directed toward the **energy sector**.	Target: 8.0% Actual: **7.7%**
Eleventh Plan (2007–12)	C. Rangarajan Leadership	Slogan: **"Towards Faster and More Inclusive Growth"**. Substantial investments in education (Right to Education Act) and health (NRHM).	Target: 9.0% Actual: **7.9%**
Twelfth Plan (2012–17)	Final Five-Year Plan	Slogan: **"Faster, More Inclusive and Sustainable Growth"**. NDC approved an 8% growth target; prioritized infrastructure investment estimated at **USD 1 trillion**.	Final FYP before transition

Q-EC9. UPPCS (Pre) 2018

In India which of the following Five Year Plans was launched with a focus on sustainable growth?

A. 9th
B. 10th
C. 11th
D. 12th

Show answer

Explanation: - The Twelfth Five-Year Plan (2012–17) was specifically titled **"Faster, More Inclusive and Sustainable Growth"**. While the Eleventh Plan focused on "Faster and More Inclusive Growth", the Twelfth Plan explicitly incorporated environmental sustainability as a core dimension. **Ans: D.** 12th.

Q-EC10. UKPCS (Pre) 2025

Which Five Year Plan was focused on inclusive growth?

A. 9th
B. 10th
C. 8th
D. 11th

Show answer

Explanation: - The Eleventh Five-Year Plan (2007–12) adopted the official title **"Towards Faster and More Inclusive Growth"**, placing structured emphasis on social sector outlays, rural employment, and regional parity. **Ans: D.** 11th.

1.6 Economic Reforms and Business Cycle Dynamics

The Paradigm Shift: 1991 LPG Reforms

- **The Balance of Payments (BoP) Crisis:** In early 1991, India faced an acute balance of payments crisis triggered by the Gulf War (surging oil import costs and loss of remittances), fiscal deficits, and double-digit inflation. Foreign exchange reserves plummeted to approximately **USD 1.2 billion** (barely enough to finance two weeks of essential imports), compelling India to pledge physical gold to the Bank of England and Union Bank of Switzerland.
- **Rao–Manmohan Model:** Under Prime Minister **P.V. Narasimha Rao** and Finance Minister **Dr. Manmohan Singh**, the Government of India launched a comprehensive structural adjustment and stabilization program based on the **LPG Framework** (Liberalisation, Privatisation, and Globalisation). 1. **Liberalisation:** Abolition of industrial licensing (the "License-Permit-Quota Raj") under the **New Industrial Policy of 24 July 1991**, dismantling of the Monopolies and Restrictive Trade Practices (MRTP) asset limits, and phased deregulation of domestic prices and financial markets. 2. **Privatisation:** Disinvestment of state equity in selected Public Sector Undertakings (PSUs), commercialization of state-owned monopolies, and opening formerly reserved sectors (telecom, aviation, mining) to private competition. 3. **Globalisation:** Reduction of quantitative import restrictions and tariff peaks, adoption of a market-determined exchange rate mechanism (LERS in 1992, unified floating exchange rate in 1993), and liberal automatic approval routes for Foreign Direct Investment (FDI).
- **Stabilisation vs Structural Adjustment:**
- **Stabilisation (Demand Management):** Short-term emergency measures designed to curb runaway inflation, compress fiscal deficits, and restore balance of payments solvency.
- **Structural Adjustment (Supply Management):** Long-term, gradual institutional reforms designed to enhance international competitiveness, upgrade productivity, and liberalize foreign trade and investment regimes.
- **Early Pre-1991 Reform Phase:** The initial phase of selective industrial delicensing, broadbanding of industrial capacity, and technological modernization was initiated in the mid-1980s under Prime Minister **Rajiv Gandhi**. However, the comprehensive, systemic break with socialist central planning occurred in **July 1991**.

Business Cycle Dynamics

Short-term economic fluctuations around the long-term trend path occur in recurring cyclical waves.

1. Phases of the Business Cycle

1. **Expansion / Boom:** Rising aggregate demand, increasing industrial production, expanding employment, and buoyant business investment.
2. **Peak:** The cyclical crest where productive capacity and employment reach near-maximum utilization, often accompanied by escalating demand-pull inflation.
3. **Contraction / Recession:** Declining aggregate demand, reduction in factory output, accumulation of unsold inventories, and rising unemployment. Technically, a recession is defined as **two consecutive quarters of negative GDP growth**.

4. **Trough / Depression:** The deepest contractionary phase characterized by severe unemployment, business insolvencies, and excess capacity, persisting until replacement demand and recovery interventions trigger revival.

2. Key Conceptual Distinctions

- **Recession:** A genuine contraction where aggregate output declines in absolute terms.
- **Slowdown:** A deceleration where GDP continues to grow, but at a visibly reduced percentage rate compared to previous years.
- **Financial Meltdown:** A sudden, steep collapse in financial asset prices, credit markets, and stock exchanges, rather than an immediate contraction in physical output.

3. Fiscal Policy Countermeasures

- **Counter-Cyclical Fiscal Policy:** The government increases public spending and cuts taxes during an economic downturn to stimulate demand, while moderating spending and raising revenue during a boom.
- **Pro-Cyclical Fiscal Policy:** Public spending expands during booms and contracts during downturns, exacerbating the amplitude of the economic cycle.

Q-EC11. UKPCS (Pre) 2016

The first phase of liberalization was initiated in India under the regime of

A. Rajiv Gandhi
B. P. V. Narasimha Rao
C. Atal Behari Vajpayee
D. H. D. Deve Gowda

Show answer

Explanation: - The initial wave of industrial deregulation, computerization, and import delicensing commenced in the mid-1980s under Prime Minister Rajiv Gandhi. While the comprehensive, systemic macroeconomic LPG package was launched in July 1991 under P.V. Narasimha Rao, historical and exam classifications recognize the mid-1980s initiatives as the first phase of Indian economic liberalization. **Ans: A.** Rajiv Gandhi.